Chapter 16

To Index or Not to Index—That Is the Question

There is a large body of research and empirical data that suggests that indexing is an excellent investing strategy.[1] Active managers have very real and significant frictional costs. With hundreds of billions of dollars under management in aggregate, they are effectively the market. Half the total market cap of all stocks will do worse than the market and half will do better—with the average being what the index delivers. But that is without considering frictional costs. Once you throw in frictional costs, the overwhelming majority (usually 80+ percent) of investors in these stocks will underperform the benchmark index. Well-diversified indexes like the S&P 500 or the Russell 2000 are all but certain to outperform most active money managers over the long haul. It is a law of investing. As long as there are frictional costs, the vast majority of actively managed assets will underperform the broad indexes. This will always be true.

Buying a broad index is a very good option for most investors—it assures them of doing better than most of their peer investors. But we can do even better for two reasons:

1. There have always been a small minority of investors and money managers who've successfully trounced the broad markets over long periods. These are, by and large, the Dhandho investors. It is worth studying the methods of these investors. If you want to be passive, it is very much worth the effort to find these managers and put your assets with them. A starting point is to consider investing with mutual fund families like Third Avenue, Longleaf, and Fairholme. All three are highly likely to do better than the broad indexes over the long haul.
2. There are lessons to be learned from the way indexes operate. Incorporating some of these index-like traits in your portfolio is